CHAPTER 1

ACCOUNTING FOR PARTNERSHIP BASIC CONCEPTS

CHAPTER ESSENCE AT A GLANCE:
Master partnership governance under the Indian Partnership Act 1932, the legal consequences of partnership deed silence, profit and loss appropriation mechanics, and fixed versus fluctuating capital systems.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Statutory Partnership Governance:** Partnership is the relation between persons who have agreed to share profits of a business carried on by all or any of them acting for all, with mutual agency as its cardinal test.

• **Default Rules in Deed Silence:** In the absence of a Partnership Deed: profits and losses are shared equally, no interest on capital or drawings is allowed, no salary or commission is payable, and partner loan interest is fixed at 6 percent per annum.

• **Profit and Loss Appropriation:** The P&L Appropriation Account acts as an extension of the Profit and Loss Account to systematically allocate net divisible profit among partners according to deed covenants.

• **Fixed vs Fluctuating Capital Dynamics:** Under Fixed Capital, two separate accounts (Capital and Current) are maintained per partner; under Fluctuating Capital, all appropriations and drawings pass directly through the Capital Account.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Interest on Drawings (Monthly Beginning)} = \text{Total Annual Drawings} \times \frac{\text{Rate}}{100} \times \frac{6.5}{12}$$

Monthly Drawings Beginning Period Average Formula

$$\text{Interest on Drawings (Monthly End)} = \text{Total Annual Drawings} \times \frac{\text{Rate}}{100} \times \frac{5.5}{12}$$

Monthly Drawings End Period Average Formula

$$\text{Divisible Net Profit} = \text{Net Profit} + \text{Interest on Drawings} - (\text{Interest on Capital} + \text{Partner Salaries})$$

P&L Appropriation Account Divisible Profit

$$\text{Statutory Deed Silence Loan Interest} = \text{Partner Advance Principal} \times \frac{6}{100} \times \frac{\text{Months}}{12}$$

Indian Partnership Act 1932 Section 13(d) Rule

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Interest on partner loan is a charge against profit (debited to P&L Account), not an appropriation of profit (never debited to P&L Appropriation Account).

• **Alert:** When date of drawings is not specified, interest on drawings is strictly calculated for an average period of 6 months.

• **Alert:** Under Fixed Capital method, drawings against capital are debited to Capital Account, while drawings against profit and all appropriations are recorded in Current Account.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State the provisions of the Indian Partnership Act 1932 regarding: (a) Interest on Partner Loan, (b) Sharing of Profits and Losses, in the absence of a Partnership Deed. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **(a) Interest on Partner Loan:** Partners are entitled to interest on loans or advances at the statutory rate of 6 percent per annum. **[1 Mark]**

• **(b) Profit and Loss Sharing:** All partners share profits and losses equally, regardless of their capital contributions. **[1 Mark]**

2. Distinguish between Fixed Capital Method and Fluctuating Capital Method across two parameters. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Number of Accounts:** Fixed method maintains two accounts per partner (Capital Account and Current Account); fluctuating method maintains only one Capital Account. **[1 Mark]**

• **Balance Consistency:** Under fixed method, the capital account balance remains unchanged except upon fresh introduction or permanent withdrawal; under fluctuating method, the balance changes with every transaction. **[1 Mark]**

3. Explain why Interest on Partner Loan is treated as a charge against profit rather than an appropriation of profit. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Charge Against Profit:** It represents an external borrowing cost that must be paid compulsorily even if the firm incurs a net loss. **[1 Mark]**

• **Accounting Presentation:** Debited to Profit and Loss Account, not Profit and Loss Appropriation Account. **[1 Mark]**

• **Credited to Loan Account:** Credited directly to Partner Loan Account, never to Partner Capital or Current Account. **[1 Mark]**

4. Calculate Interest on Drawings of Rahul at 10 percent per annum for the year ended 31st March 2024 if he withdrew Rs 2,000 per month: (a) In the beginning of every month, (b) At the end of every month, (c) In the middle of every month. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Total Annual Drawings:** Rs 2,000 * 12 = Rs 24,000. **[0.5 Mark]**

• **(a) Beginning of Month:** Rs 24,000 * 10 percent * (6.5 divided by 12) = Rs 1,300. **[1 Mark]**

• **(b) End of Month:** Rs 24,000 * 10 percent * (5.5 divided by 12) = Rs 1,100. **[0.75 Mark]**

• **(c) Middle of Month:** Rs 24,000 * 10 percent * (6 divided by 12) = Rs 1,200. **[0.75 Mark]**

5. What is meant by Guarantee of Profit to a Partner? Explain how deficiency is shared when a partner's share falls below the guaranteed amount. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Concept:** An assurance given to a partner that their share of profit shall not be less than a specified minimum amount. **[1 Mark]**

• **Deficiency Calculation:** Deficiency = Guaranteed Minimum Profit minus Actual Share of Profit. **[1 Mark]**

• **Deficiency Allocation:** Borne by the guaranteeing partner(s) in their agreed deficiency ratio or profit-sharing ratio, deducted from their shares and credited to the guaranteed partner. **[1 Mark]**

6. A and B are partners sharing profits in the ratio 3:2 with capitals of Rs 1,00,000 and Rs 60,000. Interest on capital is agreed at 5 percent per annum. Net profit for the year is Rs 6,400. Show the appropriation of profit when the deed is silent regarding interest being a charge or appropriation. **[Score: 3 Marks]**

Answer & Key Valuation Steps:

• **Required Interest:** A = 5 percent of Rs 1,00,000 = Rs 5,000; B = 5 percent of Rs 60,000 = Rs 3,000. Total required interest = Rs 8,000. **[1 Mark]**

• **Insufficient Profit Rule:** Since available net profit (Rs 6,400) is less than required interest (Rs 8,000), profit is appropriated in the ratio of interest claims (5,000 : 3,000 = 5:3). **[1 Mark]**

• **Apportioned Interest:** A receives Rs 6,400 * (5 divided by 8) = Rs 4,000; B receives Rs 6,400 * (3 divided by 8) = Rs 2,400. Zero residual profit remains. **[1 Mark]**

7. X and Y are partners sharing profits in the ratio of 2:1. Their capitals on 1st April 2023 were Rs 1,50,000 and Rs 1,00,000. The partnership deed provides: (1) Interest on capital at 6 percent p.a., (2) Salary to Y Rs 1,500 per month, (3) Interest on drawings X Rs 1,200 and Y Rs 800. Net profit before appropriations was Rs 75,000. Prepare Profit and Loss Appropriation Account for the year ended 31st March 2024. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Credit Side Inflows:** By Net Profit $\frac{b}{d}$ Rs 75,000; By Interest on Drawings (X Rs 1,200 + Y Rs 800) = Rs 2,000. Total Credit = Rs 77,000. **[1.5 Marks]**

• **Debit Side Appropriations:** To Interest on Capital (X Rs 9,000 + Y Rs 6,000) = Rs 15,000; To Salary to Y (Rs 1,500 * 12) = Rs 18,000. Total Appropriations = Rs 33,000. **[1.5 Marks]**

• **Divisible Profit Transfer:** Total Credit Rs 77,000 - Total Debit Rs 33,000 = Divisible Profit Rs 44,000. Distributed in 2:1 ratio: To X Capital Account (2 divided by 3) = Rs 29,333; To Y Capital Account (1 divided by 3) = Rs 14,667. **[1 Mark]**